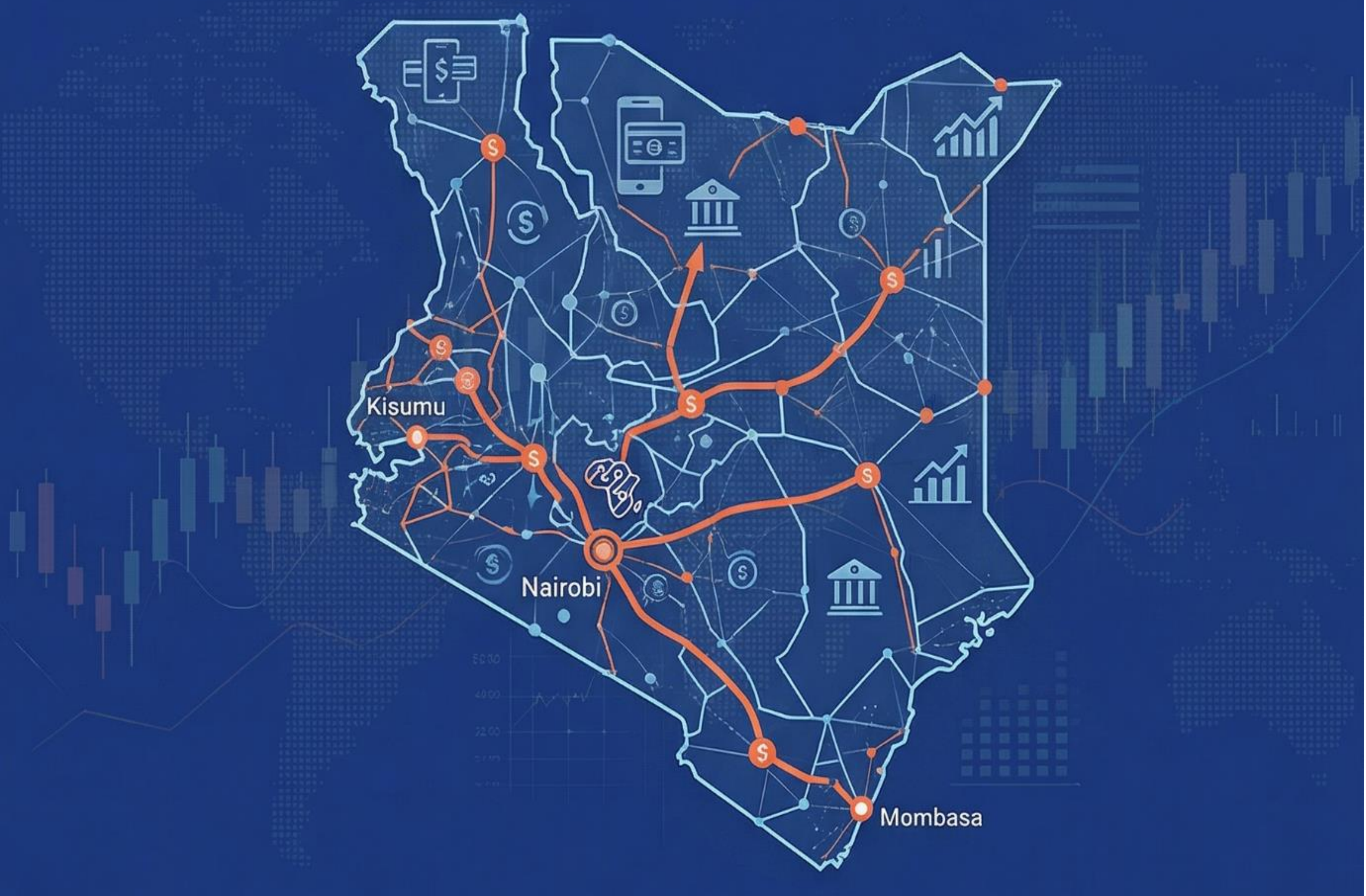
Kenya **Banking & Financial Services** Sector Report 2026



Strategic Insights for Financial Institutions, Investors, and Policymakers in Kenya

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Econsult Africa

Understanding the financial signals shaping Kenya's economy

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KENYA 2026
BANKING & FINANCIAL SERVICES INTELLIGENCE BRIEF

The RBCPM Era: Balancing Net Interest Margins with Monetary Pass-Through

Derived from the Kenya 2026 Economic Outlook | Econsult Africa Sector Intelligence Series

Contents

Section 1: Macro Context in 60 Seconds

Start here. The Central Bank of Kenya has cut interest rates **ten consecutive times** since August 2024. That is 425 basis points of easing, from 13.0% down to 8.75%, the longest and deepest rate-cutting cycle in the institution's history (CBK, 2026a; Bloomberg, 2026). In any economics textbook, that amount of stimulus floods the economy with cheaper credit, revives investment, and accelerates growth. In Kenya, it has not. Average commercial bank lending rates have declined by only 220 basis points, from a peak of approximately 17.2% to 14.8% as of January 2026 (CBK, 2026a). The banks absorbed the other half. And while they were absorbing it, they posted the highest profits in Kenyan banking history.

That is not a scandal. That is a **structural diagnosis**. The Outlook's base-case GDP projection of 5.2% for 2026, marginally above the IMF's 4.9% and below the CBK's 5.5%, rests on an assumption that monetary easing will eventually reach borrowers (Econsult Africa, 2026; IMF, 2026; CBK, 2026a). Whether that assumption holds depends almost entirely on what happens inside the banking sector over the remainder of 2026. As of March 2026, three things have moved since the Outlook was finalised. February 2026 inflation eased to 4.3%, a six-month low, while food inflation held at 7.3% (KNBS, 2026). Governor Thugge told Bloomberg on 25 February that "scope for additional easing" remains if global conditions hold (Bloomberg, 2026). And the Kenya shilling has edged to 130.0/USD in late March, the first meaningful departure from its eighteen-month lock at 129 (Trading Economics, 2026). The macro backdrop is permissive. The question is whether the plumbing works.

> *This brief draws primarily on the Kenya 2026 Economic Outlook by Econsult Africa, supplemented by publicly available data and developments through March 2026. Where more recent data updates the Outlook's figures, this is noted explicitly. All 2026 sector projections remain forward-looking assessments.*

For the full macroeconomic analysis, see the Kenya 2026 Economic Outlook (https://econsult.africa/kenya-2026).

Section 2: Sector Performance and Trajectory

The Profits Nobody Expected to Be This Good

Equity Group Holdings posted KSh 75.5 billion in profit after tax for FY2025. That is a 55% increase. In a year when GDP grew approximately 5%, when youth unemployment sits between 40 and 67%, when debt service consumes 53% of government revenue, the largest bank in East Africa delivered profit growth **eleven times the GDP growth rate** (Equity Group Holdings, 2026; The Kenya Times, 2026). KCB followed at KSh 68.35 billion (+10%). Cooperative Bank and NCBA recorded gains of approximately 15% and 12% respectively. Across Tier 1 institutions, combined dividend payouts reached KSh 111.3 billion, up 30.3% (KCB Group, 2026; The Kenya Times, 2026).

Now hold that alongside a different set of numbers. Standard Chartered Bank Kenya's profit fell 38%. Stanbic declined 9% (Finance in Africa, 2025). Same economy, same interest rate environment, opposite results. The divergence is the story. Local banks with diversified income streams, regional subsidiaries, and digital lending platforms thrived. Foreign-owned banks sitting on large government securities portfolios watched their net interest income compress as Treasury bill yields fell from 16% to below 8%. Equity's regional operations contributed approximately 50% of group pre-tax profit, with Uganda (+500%), Tanzania (+125%), and BCDC in the DRC (+58%) driving the headline (Kenyan Banks Dashboard, 2026). KCB's regional subsidiaries contributed 31%. The Kenyan banks that diversified won. The ones that relied on the old model of holding government paper and earning a spread lost.

Figure 1: Banking Sector Vital Signs Dashboard, as at February 2026. Data represents the most recent available readings; all 2026 projections in this brief are forward-looking.

The NPL Story: Better, But Do Not Celebrate Yet

Gross non-performing loans declined from a peak of 17.6% in August 2025 to 15.5% by January 2026 at the sector level (CBK, 2026a). Individual bank FY2025 results show further progress: Equity improved to 11.5% from 13.6%, KCB recorded its first meaningful NPL reduction in four years, Stanbic fell to 8.0%, DTB declined from 12.3% to 10.8% (Kenyan Banks Dashboard, 2026). The improvement reflects GDP recovery through 2025, the KSh 175 billion pending bills securitisation in May 2025, active debt restructuring, and lower borrowing costs feeding through to repayment capacity (Econsult Africa, 2026). The direction is right. The level is still approximately **three times the CBK's prudential optimum of 3-5%**, and concentrated stress persists in construction and real estate portfolios (CBK, 2025). The sector is healing, not healed.

Credit Growth: Real, But Uneven and Fragile

Private sector credit growth accelerated to 6.4% in January 2026, a dramatic reversal from the -2.9% contraction recorded in January 2025. Banks advanced KSh 228.2 billion in net new loans during 2025, reversing the KSh 53.6 billion contraction of the prior year (CBK, 2026a; Kenyan Wall Street, 2026). The 2025 recovery was broad-based: manufacturing lending rose 11.1% year-on-year, construction surged 52.9%, consumer durables climbed 12.2% (Kenyan Wall Street, 2025). But monthly 2025 data revealed uneven momentum. September posted the strongest monthly flow at KSh 79.3 billion, while January, February, and August registered contractions (TechTrends Kenya, 2026). The Outlook projects credit growth to sustain at 6-8% through 2026 under the baseline scenario, but this requires the RBCPM to improve pass-through and fiscal crowding-out to moderate. Neither is guaranteed.

The capital base remains the sector's unambiguous strength. Capital adequacy at 19.9% as of October 2025, well above the 14.5% regulatory minimum, provides a 5.4 percentage point buffer for lending expansion, NPL absorption, or macro shock resilience without recapitalisation risk (CBK, 2026a). Relative to African peers, Kenya's banking sector remains the most developed in East Africa. Equity Group and KCB rank among Africa's top 20 banks by Tier 1 capital, and S&P's Africa Banking Outlook 2026 projects improving loan growth and asset quality with Kenya positioned alongside Nigeria and South Africa as a primary market (African Business, 2025; Ecofin Agency, 2026).

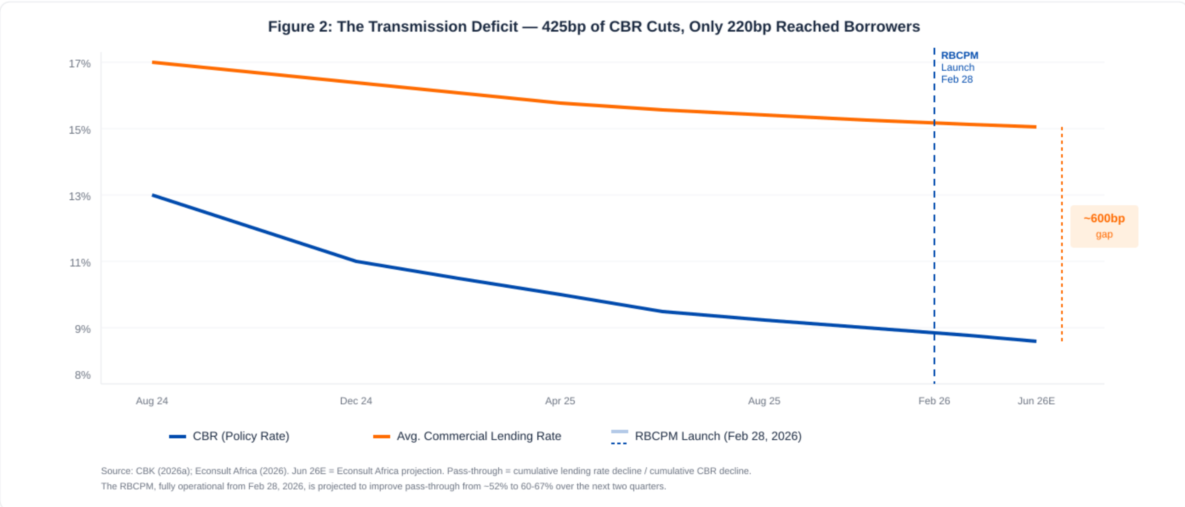

Figure 2: The Transmission Deficit. As of February 2026, only 52% of the CBK's 425bp easing has reached commercial lending rates. The RBCPM (launched Feb 28, 2026) is projected to improve pass-through to 60-67% over the coming quarters.

Section 3: Policy and Regulatory Environment

The RBCPM: The Reform That Changes Everything, If It Works

On 28 February 2026, the revised Risk-Based Credit Pricing Model became fully operational for all existing variable-rate loans, completing a six-month transition (CBK, 2025; Bowmans, 2025). Under the new architecture, all Kenya shilling variable-rate loans are priced as KESONIA plus a borrower-specific premium ("K"), where K comprises the bank's operating cost, return to shareholders, and individual credit risk assessment. Banks must publish their weighted average lending rates, premium components, and fees on both institutional websites and the Total Cost of Credit portal (DLA Piper Africa, 2025). Equity Bank and KCB confirmed adoption through customer notices in late 2025 and early 2026 (Equity Group Holdings, 2026b; TechBlogs Africa, 2025).

The reform's genius is transparency. When every bank's K premium is publicly visible, competitive pressure should force convergence toward lower spreads. The Outlook identifies RBCPM enforcement as the single most consequential reform available in 2026, noting that anti-competitive pricing must be referred to the Competition Authority (Econsult Africa, 2026). The risk the optimists undercount: banks may simply inflate their K premiums to preserve margins, replacing opaque pricing with transparently expensive pricing. As of late March 2026, the reform has been operational for only one month. The first two quarters of published TCC data, available from mid-2026, will be the definitive test.

Monetary Policy: Room Remains, But the Constraint Has Shifted

The CBK narrowed its interest rate corridor from ±75bp to ±50bp at the February 2026 meeting (CBK, 2026a). The Outlook projects two further 25bp cuts (April and June 2026), bringing the CBR to 8.25% by mid-year, with a terminal rate of 7.75-8.25% for this cycle (Econsult Africa, 2026). Governor Thugge's February statement confirmed scope for further easing (Bloomberg, 2026). However, **the constraint is no longer the policy rate**. Cutting the CBR from 8.75% to 8.25% delivers another 50bp of headline easing. If pass-through remains at 52%, that translates to roughly 26bp at the lending rate, moving average commercial rates from 14.8% to perhaps 14.5%. The battle has shifted from the CBK's meeting room to the TCC portal.

Fiscal Crowding-Out: Two Arms of Policy Working Against Each Other

The government's Medium-Term Debt Management Strategy allocates 82% of gross borrowing from domestic sources, with net domestic financing of KSh 545.8 billion planned for FY2025/26 (National Treasury, 2025). While Treasury bill yields have declined below 8%, the sheer volume absorbs the liquidity that the CBK's easing is trying to channel toward private credit. The Outlook identifies this as two arms of economic policy working at cross-purposes (Econsult Africa, 2026). The triple upgrade sequence (Moody's to B3 stable, January 2026; Fitch B- stable, January 2026; S&P B stable, August 2025) improves the operating environment but every rating agency explicitly caveatted that the upgrade reflects reduced near-term default risk, not improved fiscal fundamentals (Moody's, 2026; Fitch Ratings, 2026; S&P Global, 2025).

Section 4: Risk Map

Five risks define the sector's 2026 outlook. They are ordered by the **speed at which they can change the investment thesis**, because a risk that takes twelve months to materialise allows repositioning; one that fires in twelve days does not.

Risk 1: RBCPM Transmission Failure (Probability: Medium-High | Impact: High)

Banks exploit the transition to inflate K premiums, offsetting the lower KESONIA reference rate. Lending rates stall above 14% through H2 2026 and credit growth plateaus below 8%. **Trigger:** Q2 2026 TCC data reveals average K premiums exceeding 600bp. **Early warning:** Published weighted average lending rates failing to decline in the three months post-launch. **Transmission:** Invalidates the monetary easing narrative; depresses banking equity valuations; undermines CBK credibility (Econsult Africa, 2026).

Risk 2: NPL Reversal (Probability: Medium | Impact: Medium-High)

Economic recovery disappoints (drought, external shock), pending bills re-accumulate, and NPLs reverse toward 17-18%. **Trigger:** Failed March-May long rains push food inflation above 10%, compressing household disposable income and business cash flows. **Early warning:** Monthly food CPI exceeding 10%; construction sector NPLs rising. **Transmission:** Forces defensive provisioning, compresses profitability, entrenches risk-averse lending regardless of the policy rate (CBK, 2025; Econsult Africa, 2026).

Risk 3: Fiscal Crowding-Out Intensifies (Probability: High | Impact: Medium)

The FY2026/27 budget (expected June 2026) produces a deficit exceeding 5.5% of GDP, requiring elevated domestic borrowing. **Trigger:** Deficit above 6.0% with domestic borrowing above 85% of gross financing. **Early warning:** Net domestic borrowing exceeding KSh 50 billion per month in the CBK weekly bulletin. **Transmission:** Neutralises monetary transmission; creates "lazy banking" where risk-free government returns exceed risk-adjusted private lending returns (Econsult Africa, 2026; Fitch Ratings, 2026).

Risk 4: NIM Compression Threatens Profitability (Probability: Medium-High | Impact: Medium)

Rate cuts compress net interest margins faster than banks offset through volume or fee income. FY2025 confirmed this dynamic: Standard Chartered fell 38%, Stanbic declined 9% (The Kenya Times, 2026). **Trigger:** Average lending rates below 13% while deposit rates remain sticky. **Early warning:** H1 2026 results showing declining NII for banks with concentrated government securities exposure. **Transmission:** Foreign-owned banks may reduce Kenya exposure; Tier 2 and 3 banks face earnings pressure.

Risk 5: Political Instability / Pre-Election Uncertainty (Probability: Medium | Impact: Severe if sustained)

Cost-of-living pressures and 2027 election mobilisation reignite social unrest. **Trigger:** Food inflation above 10% combined with coalition fragmentation. **Early warning:** Social media sentiment; NSE Banking Index declining >10% in a single quarter. **Transmission:** The 2024 Gen Z protests triggered immediate equity outflows and permanently closed the window for headline tax increases. A recurrence reprices the entire sector (Econsult Africa, 2026).

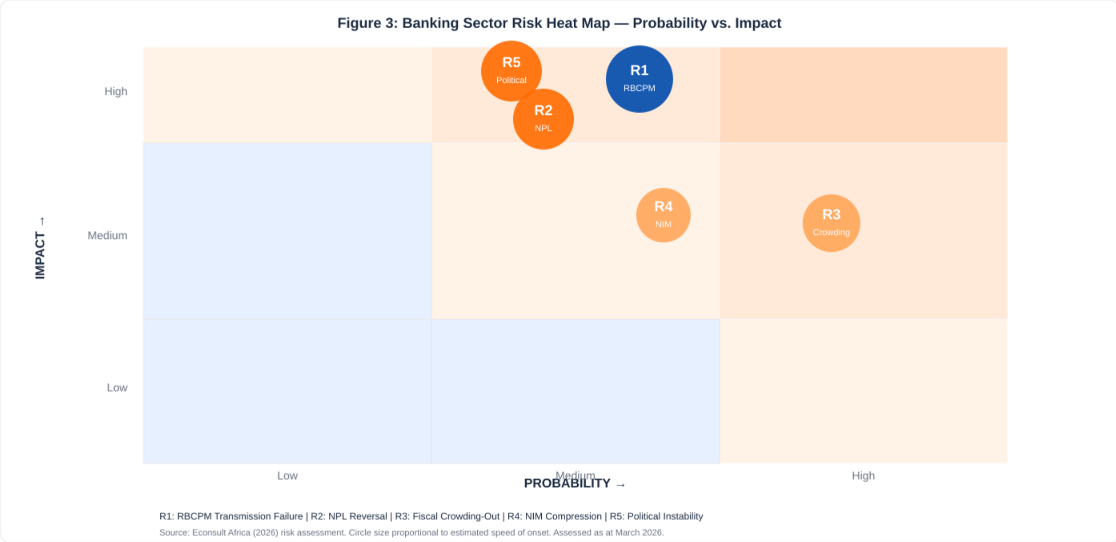

Figure 3: Banking Sector Risk Heat Map, assessed as at March 2026. Circle size reflects speed of onset. No risks occupy the high-probability, high-impact quadrant, but Risk 1 (RBCPM failure) sits closest and carries the most consequential implications for the Outlook's 2026 thesis.

Section 5: Opportunity Map

Opportunity 1: The RBCPM Winners (12-24 months)

Thesis: The RBCPM creates structural differentiation. Banks with lower NPL ratios, advanced credit-scoring, and diversified lending books can publish lower K premiums and gain market share. Equity's NPL ratio of 11.5% versus the 15.5% sector average implies a structurally lower risk premium. Its digital platform serves 45% of all MSME loans disbursed in Kenya (Equity Group Holdings, 2025). **Derailment risk:** Regulatory forbearance; CBK enforcement capacity. **Time horizon:** The first two quarters of published TCC data (mid-2026) are the assessment window.

Opportunity 2: Digital Lending and Fintech Expansion (2-5 years)

Thesis: 84.8% financial inclusion and 78.9% mobile money penetration create the deepest addressable digital financial market in Africa. The RBCPM structurally favours digital-first lenders with algorithmic credit scoring. **Derailment risk:** Regulatory tightening on digital lending; Safaricom/M-Pesa platform concentration. **Time horizon:** Medium to long-term (Econsult Africa, 2026).

Opportunity 3: Construction Credit Surge (6-18 months, cyclical)

Thesis: Construction credit surged 52.9% YoY in Q3 2025. Pre-election infrastructure spending is projected to sustain demand through mid-2027. Banks with construction lending expertise capture volume and the deposit float from government contractor payments. **Derailment risk:** Post-election spending cliff (historical pattern); pending bills accumulation. **Time horizon: Explicitly cyclical. Exit before August 2027 is critical** (Econsult Africa, 2026).

Opportunity 4: Regional Expansion (structural, ongoing)

Thesis: FY2025 confirmed regional subsidiaries as the primary growth engine. Equity's regional operations contributed ~50% of group PBT. KCB is targeting Ethiopia entry before end-2026. Diversification provides natural hedging against Kenyan domestic risk. **Derailment risk:** FX translation risk; regulatory fragmentation; DRC political risk. **Time horizon:** Structural (Kenyan Banks Dashboard, 2026; The Kenya Times, 2026).

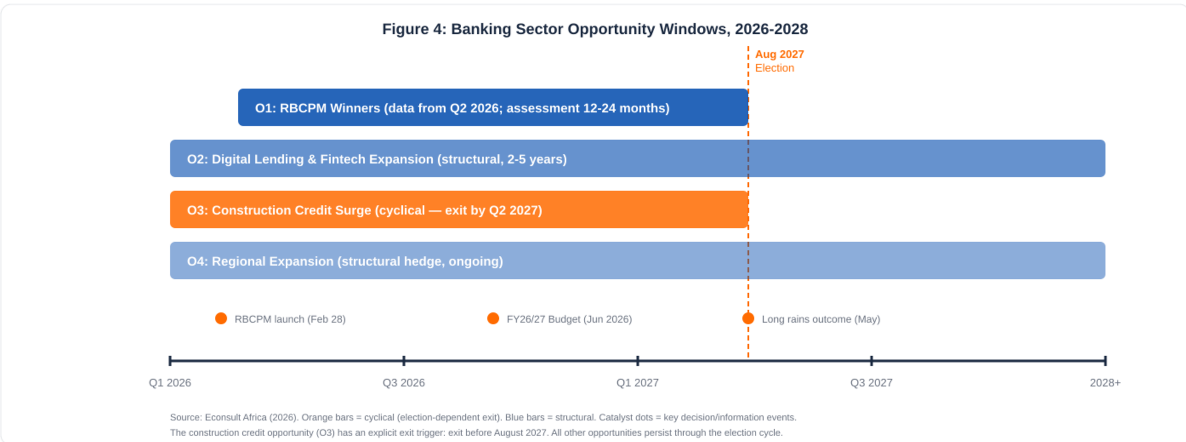

Figure 4: Banking Sector Opportunity Windows, 2026-2028. Orange bar (O3) has an explicit exit trigger tied to the August 2027 election. Blue bars represent structural opportunities that persist through the political cycle.

Section 6: So What: Implications by Player Type

For Operators (banks, fintechs, SACCOs)

Prepare for margin compression. NIM pressure is structural. Accelerate fee income diversification. Invest aggressively in digital credit scoring to publish competitive K premiums. **Monitor construction credit** for overheating in H2 2026. **Accelerate regional integration:** Equity's subsidiary model (50% of group PBT) is the structural template.

For Investors (equity, fixed income)

Selective overweight on banking equities. Favour institutions with lowest NPL ratios, strongest digital platforms, and most diversified regional earnings. **Underweight foreign-owned banks** with concentrated government securities portfolios unless H1 2026 results demonstrate NIM defence. **Watch Q2 2026 TCC data** as the first quantitative test of RBCPM: if K premiums compress and lending rates decline below 14%, the credit growth thesis is validated.

For Policymakers (CBK, National Treasury, CMA)

Enforce RBCPM rigorously. Publish quarterly K premium distribution analysis. **Reduce domestic borrowing.** Every KSh 100bn reduction in domestic issuance unlocks ~KSh 60-80bn for private credit. The monetary and fiscal arms must stop working at cross-purposes. **Defer further rate cuts** if RBCPM data shows pass-through improving: the constraint is now structural, not the policy rate level.

For Development Partners (DFIs, multilaterals)

Target credit guarantee schemes at Tier 2 and Tier 3 banks. These institutions face the sharpest liquidity constraints and serve the MSME segment most underserved by Tier 1. A 50-80% first-loss guarantee could unlock KSh 50-100bn of additional MSME lending. **Support RBCPM technical capacity building** for smaller banks lacking IT systems and credit-scoring infrastructure.

Section 7: Key Indicators to Watch

Indicator	Current Value	Trend	Threshold	Source	Freq.
Central Bank Rate	8.75%	▼ Easing	Pause or reversal	CBK	Bimonthly
Avg. lending rate	14.8% (Jan 26)	▼ Slow	Stalls >14.5% post-RBCPM	CBK	Monthly
Gross NPL ratio	15.5% (Jan 26)	▼ Improving	Reversal above 16.5%	CBK	Monthly
Private sector credit	6.4% (Jan 26)	▲ Accel.	Stalls below 5%	CBK	Monthly
Capital adequacy	19.9% (Oct 25)	↔ Stable	Falls below 17%	CBK	Quarterly
Net domestic borrowing	KSh 545.8bn target	▲ Elevated	>KSh 50bn/month	CBK	Weekly
Food CPI (YoY)	7.3% (Feb 26)	↔ Sticky	Exceeds 10%	KNBS	Monthly
KES/USD	130.0 (Mar 26)	▲ Slight weak.	Breach of 134	CBK	Daily
RBCPM avg. K premium	TBD (1 month in)	New metric	Avg. K >600bp	TCC Portal	Continuous
NSE Banking Index	Recovering	▲ Positive	>10% quarterly decline	NSE	Daily

Figure 5: Banking Sector Projections Under Three Macro Scenarios

SCENARIO	LENDING RATE	CREDIT GROWTH	NPL RATIO	SECTOR VERDICT
UPSIDE Prob: 20-25%	<13.5% RBCPM drives compression	8-10% Broad-based expansion	<14% Continued improvement	EXPAND
BASELINE Prob: 50-55%	13.5-14.0% Modest improvement	6-8% Uneven recovery	14-15% Stabilising	STABLE
DOWNSIDE Prob: 20-25%	>14.5% RBCPM gamed; easing paused	<5% Stalls or reverses	>16% Reversal toward 17-18%	DEFENSIVE

Source: Econsult Africa (2026) scenario framework; CBK (2026a). These are projections for year-end 2026. Probability weights from the Outlook's integrated assessment.
The baseline scenario sustains the stabilisation narrative without resolving structural constraints. The downside can be triggered by a single adverse shock.

Figure 5: Banking Sector Projections Under Three Macro Scenarios. These are forward-looking assessments for year-end 2026. The baseline (50-55% probability) projects lending rates declining to 13.5-14.0% with credit growth of 6-8%, contingent on RBCPM effectiveness and moderate fiscal crowding-out.

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Methodology

This brief is derived from the Kenya 2026 Economic Outlook, a comprehensive macroeconomic assessment by Econsult Africa, supplemented by publicly available data through March 2026. All sources are cited in APA 7th edition format. All 2026 sector-level projections remain forward-looking assessments as at the date of publication.

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